

Lease With Option To Buy

One possible option for purchasers who may not be able to get traditional financing, but who want to own a home is a lease with an option to buy. An option is an offer. When the buyer exercises the option, the buyer is accepting the offer. Because options leave the seller hanging in a way (not being able to sell to another purchaser), they are only open for a specified period of time. Although the buyer pays the seller for the right to invoke the option, the buyer may not ever invoke it, in which case the fee is forfeited to the seller. If the optionee doesn't exercise the option before the expiration date, the owner is free to sell.

Options with leases are often seen with prospective purchasers who can't purchase immediately but intend to soon, and would like to buy the property they are renting. Sometimes a portion of the lease payments will apply toward the property's purchase price; other times, all rental income is just that—rental income. A breach of the lease terms may negate the option, and the prospective purchaser could even lose any portion of lease payments that were intended to go toward the purchase price.

Right of First Refusal

Similar to, but different from, a lease option is a right of first refusal. With a right of first refusal, the holder may purchase the property if the seller decides to sell to anyone. The order of events is this:

- The prospective purchaser asks for (and often pays a fee for) a right of first refusal.
- At some point, the owner may put the property up for sale or lease.
- Another party makes an offer to the owner.
- The holder of the right of first refusal now has to "put up or shut up"—either match the new party's offer, or allow the property to be sold or leased to the third party.

If it helps, remember that with an option, all the cards are in the option holder's hands: The option holder can decide when and whether to exercise the right to the property. It's more proactive.

With a right of first refusal, the holder of the right waits until an event occurs (a third party makes an offer on the property) and then must decide whether to exercise the right, or let the property go. This is a more reactive position.